The Australian Financial Review (Phillip Coorey), 10 Nov
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Business groups back a simpler capital gains tax model

> Peak industry groups, economists and business leaders are urging the government to adopt independent MP Allegra Spender's alternative to the budget's capital gains tax changes, which they say would raise as much revenue with far less complexity.

WHAT HAPPENED

- The **May budget** replaced the 50% CGT discount (assets held over 12 months) with a discount based on **inflation** over the life of the asset, applied to all assets, with a **minimum 30% CGT rate**.
- Start-ups with a low or zero cost base were hit hard, so the government added a narrow **carve-out (IBCC)** with three tests – which critics call complicated.
- **Spender's model** keeps the inflation-based discount for passive assets such as investment property, but gives **active assets** (businesses, shares, options) a flat **40% discount** and scraps the IBCC.
- The Parliamentary Budget Office has costed it; supporters say it raises **as much revenue** as the budget version.
- Ai Group's Innes Willox and ACCI's Andrew McKellar back it, along with economist Robert Breunig and more than 350 business owners. The remaining budget bills are due to pass within a fortnight.

50%
Old CGT discount – abolished in May

40%
Spender's flat discount for active assets

30%
Minimum CGT rate under the budget

350+
Business owners backing Spender's model

Capital gains tax (CGT): tax on the profit made when an asset is sold for more than it cost.
Active vs passive assets: active = businesses, shares, options; passive = e.g. investment property.

BAR CHART

Why start-up founders object: tax on a $1m gain from a zero-cost stake



An inflation-based discount only adjusts the **cost base** for inflation. When a founder's shares cost **nothing**, there is nothing to index, so the **whole gain is taxable**.

This simplified example ignores the IBCC carve-out and personal tax rates. It shows taxable gain only, in $'000.

Exam angle: CGT reform is a classic **equity–efficiency trade-off**. Taxing gains more like wages improves **vertical equity**, because capital gains flow mainly to high-wealth households. Critics argue it reduces the **incentive to take risks** and invest, which matters for productivity.

COMPARE

Three ways to tax capital gains

Before May 2026
- 50% discount on all assets held 12+ months
- Simple, but generous to high-wealth investors

Budget model
- Inflation-indexed discount on all assets; 30% minimum rate
- Narrow IBCC carve-out for start-ups

Spender model
- Indexation for passive assets (e.g. property)
- Flat 40% for active assets; no IBCC

SYLLABUS LINK
Topic 4 – Fiscal policy: taxation reform and its effects on incentives; Topic 3 – distribution of income and wealth (equity vs efficiency).

TRY THIS
Evaluate the trade-off between equity and efficiency in recent changes to Australia's capital gains tax.
(6 MARKS)

Sources — The Australian Financial Review, 'Business, economists urge Chalmers to adopt Spender's CGT model', Phillip Coorey, 10–11 Nov 2026: afr.com (subscriber article)

Figures as reported; diagrams are illustrative, not to scale.